

# SHAREHOLDERS AGREEMENT

This Shareholders Agreement (the Agreement) is entered into between Sipho Dlamini (the Majority Shareholder) and Thandi Nkosi (the Minority Shareholder) in respect of Dlamini Holdings (Pty) Ltd, registration 2021/123456/07.

1. **SHAREHOLDING.** The Majority Shareholder holds 60 percent of the issued shares and the Minority Shareholder holds 40 percent. No shares may be transferred without first being offered to the other shareholder (pre-emptive right).
2. **BOARD.** The board comprises three directors. The Majority Shareholder appoints two; the Minority Shareholder appoints one. A quorum requires at least one director from each shareholder.
3. **RESERVED MATTERS.** The following require unanimous consent: issuing new shares, incurring debt above R500 000, disposing of material assets, and amending the memorandum of incorporation.
4. **DEADLOCK.** If the board is deadlocked for 30 days, either shareholder may trigger a buy-sell (shotgun) clause whereby one party names a price and the other must either buy or sell at it.
5. **RESTRAINT OF TRADE.** Each shareholder is restrained from competing with the company for 24 months within South Africa. This restraint may be unenforceable if found unreasonable.
6. **DIVIDENDS.** Dividends are declared at the boards discretion; there is NO guaranteed minimum distribution to the minority.
7. **DISPUTE RESOLUTION.** Disputes are referred to arbitration under AFSA rules, seated in Johannesburg, governed by SA law.
8. **TERMINATION.** This Agreement terminates on unanimous written agreement or when one shareholder ceases to hold any shares.